

Due to simple privacy regulations, data for assessing the customer's ability to repay debt can be taken from sources like the government-administered social credit system. After installing the app on the smartphone and opening a remote account, borrowers can apply for loans directly. Transaction process is instant and loan approval takes about three minutes, unlike traditional banks that can take more than a month.

Without human bankers, operating cost per loan is just three yuan (approximately ₹ 30.17), whereas traditionally it can cost thousands. Besides, penalty rate has been a mere one per cent. With attractive borrowing rates, it has lent two trillion yuan (\$290 billion) to nearly sixteen million small companies till now, according to a report from *Bloomberg*.

Other Chinese companies such as Tencent Holdings Ltd (WeBank) are also ramping up their system to solve the problem of capital funding. State-owned China Construction Bank Corp. has launched its mobile app to provide online banking services for SMEs and other customers.

Outside China, Korea's messaging app platform Kakao has launched a

digital bank in 2017. Companies like Amazon also allowing payments in the form of such services as Amazon Pay and Amazon Cash.

India has several fintech startups situated in metropolitan areas like Bengaluru and Delhi-NCR to make loans accessible to the masses. Programmes by state governments have helped boost their growth prospects. Key players include Paytm, PhonePe, MobiKwik, PayU and Policy Bazaar. Paytm, a mobile wallet business, is Ant Financial's most important foreign holding at approximately forty per cent. According to a recent report from tech market intelligence platform CB Insights, India became the top market for fintech deals in Asia in the second quarter of 2019.

Many countries like the UK use digital financial advisories, known as robo-advisors. Robo-advisors come with advanced capabilities at lower management costs to cater to specific investor interests. These completely automated algorithm-based platforms deliver customised solutions on demand.

In Bahrain, support for open banking and other such regulations have given a major impetus to the growth of robo-advisors and fintech firms.

Advancements through robotic process automation (RPA) and chatbots are further enabling better efficiency and accuracy.

These businesses are thriving due to availability of the Internet and smartphones to the masses. But to be sustainable, offering unique and innovative solutions with a variety of banking options is necessary. There is a need to focus on key sectors and leverage technologies like AI and blockchain. For example, Singapore-based ride-sharing company Grab additionally offers such services as hotel booking and food delivery services on its app.

This also means that traditional banks need to change their business model and use technological solutions to remain relevant and competitive. For instance, Siam Commercial Bank (SCB) has collaborated with Indonesia's Go-Jek to provide taxi and ride-hailing, food delivery and other such services in Thailand. While technology and simple regulations are blurring business boundaries and boosting employment, security concerns related to the use of algorithms need to be addressed through comprehensive legal frameworks.

—Ayushee Sharma

4 PARKING 4.0: THE NEXT-GENERATION PARKING MANAGEMENT SYSTEM

Automotive, automation, ITS and telecom industries are showing great interest in the smart parking market as part of a broader smart city and the Internet of Things (IoT) strategy

You will soon be able to pre-book your parking slot for your Saturday evening show a week in advance. Digital payment options will open smart parking and electric vehicle (EV) charging gates with a single click. You will also be able to charge your EV at malls, residential buildings, schools or large parking complexes.

As per a Research & Markets report, the global smart parking market is going to increase from 4.9 billion dollars in 2018 to 11.6 billion dollars in 2024. Such factors as mobile

lifestyle, parking woes, steep charges, ownership curbs by city governments and millennials' embrace of asset-light living will catalyse its growth. The rise of autonomous cars and EVs, which are likely to be commercially-deployed over the next decade, will give a push to this development.

In the present scenario, increasing parking capacity would be a challenge due to growing scarcity of available urban space, while decreasing the demand will subdue citizens' mobility experience. Traffic congestion is a result of growing motorisation,

which is increasing the demand for dedicated parking spaces, especially in central areas. So, the focus is fast shifting to off-street indoor parking as opposed to outdoor parking, as the latter consumes valuable and usable street space.

Parking 4.0 will bring together the best of Industry 4.0 and Business 4.0, leveraging advanced analytics, experience engineering and newer business models. It will increase efficiency of parking systems with an urban optimisation strategy encompassing both space and mobility dimensions.